(c) Increase in tax rates accompanied by reduction of interest rate
(d) Reduction of expenditure on public projects

Ans. (b) Economic Recession is characterized by negative growth rate of GDP in two successive quarters, fall down in the economy and fall in investments are the indicators of recessions.
Cut in tax rates accompanied by increases in interest rate resulted in credit crunch in the economy which are not desirable in the time of Economic Recession. So option (a) is in-correct.
Increase in expenditure on public projects is the main tool to stimulate the economy in the time of recession, which triggers the virtuous cycle of investment that lead to increase in GDP and increase in economy. So this is the most desirable step to boost the economy. Hence option (b) is correct.

47. Consider the following statements :
Other things remaining unchanged, market demand for a good might increase if
1. price of its substitute increases
2. price of its complement increases
3. the good is an inferior good and income of the consumers increases
4. its price falls

Which of the above statements are correct?
(a) 1 and 4 only (b) 2, 3 and 4
(c) 1, 3 and 4 (d) 1, 2 and 3

Ans. (a): Statement -1 (correct) – Because the demand for a good usually moves in the direction of the price of its substitutes, when it increases or decreases.
Statement – 2 (in-correct) – Goods which are consumed together are called complementary goods. An increase in price of complementary goods leads to reduce in demand.
Statement – 3 (in-correct) – In Inferior Goods, as the income of the consumer increase, the demand for an inferior good falls, and when the income decreases, the demand for an inferior good increases.
Statement -4 (correct) – Because, when price of the commodity increases, demand for it falls and when price of the commodity decreases, demand for it rise, other factors remaining the same.
Hence option (a) is correct answer.

48. With reference to 'Urban Cooperative Banks' in India, consider the following statements:
1. They are supervised and regulated by local boards set up by the State Governments.
2. They can issue equity shares and preference shares.
3. They were brought under the purview of the Banking Regulation Act, 1949 through an Amendment in 1966.

Which of the statements given above is/are correct?
(a) 1 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (b): Statement 1 is incorrect. The Urban Banks Department of the Reserve Bank of India is vested with the responsibility of regulating and supervising primary (urban) cooperative banks, which are popularly known as Urban Cooperative Banks (UCBs).
Statement 2 is correct. A cooperative bank can, with prior approval of the RBI, issue equity shares, preference shares, or special shares to its members or to any other person residing within its area of operation, by way of public issue or private placements.
Statement 3 is correct. Large cooperative banks with paid-up share capital and reserves of Rs.1 lakh were brought under the purview of the Banking Regulation Act 1949 through an amendment in 1966.
The correct answer is option (b).

49. Indian Government Bond Yields are influenced by which of the following?
1. Actions of the United States Federal Reserve
2. Actions of the Reserve Bank of India
3. Inflation and short-term interest rates

Select the correct answer using the code given below.
(a) 1 and 2 only (b) 2 only
(c) 3 only (d) 1, 2 and 3

Ans. (d) : Bonds yields in India are affected by –
- There are a number of economic factors that impact Treasury yields, such as interest rates, inflation, and economic growth.
- The major factors affecting the yield are the monetary policy of the Reserve Bank of India, especially the course of interest rates, fiscal position of the government, global markets, economy and the inflation.
- US Bond Yields.

50. Consider the following :
1. Foreign currency convertible bonds
2. Foreign institutional investment with certain conditions
3. Global depository receipts
4. Non-resident external deposits

Which of the above can be included in Foreign Direct Investments ?
(a) 1, 2 and 3 (b) 3 only
(c) 2 and 4 (d) 1 and 4

Ans. (a): In Capital Account of Balance of Payment, we can classify into Investment, Borrowings and External Assistance. Investment includes Equity flow in the economy. Foreign Currency Convertible Bonds (FCCB), Foreign Institutional Investment with certain conditions (subject to the overall limit of 24%), and Global Depository Receipts (GDR) are the instruments for the foreign investment in India. Hence options 1, 2 and 3 are correct. Non-Resident external deposits are a 'debt creating' flow in balance of payments accounts and therefore, not part of Foreign Direct investments. Hence options 4 is not correct.

51. Consider the following statements :
The effect of devaluation of a currency is that it necessarily.
1. improves the competitiveness of the domestic exports in the foreign markets
2. increases the foreign value of domestic currency
3. improves the trade balance

Which of the above statements is/are correct ?
(a) 1 only (b) 1 and 2
(c) 3 only (d) 2 and 3

Ans. (a): A devaluation means there is a fall in the value of a currency. The main effects are:
Statement 1 is correct.
Exports are cheaper to foreign customers: If the value of the rupee decreases against the dollar, the price of the cars sold by Indian manufacturers in America, in dollars, will be effectively less expensive than they were before. On the other hand, a more valuable currency makes exports relatively more expensive for purchase in foreign markets.
Statement 2 and 3 are incorrect.
Devaluation of a currency decreases the foreign value of domestic currency. Devaluation also increases the debt burden of foreign-denominated loans when priced in the home currency. Thus, devaluation may not improve the trade balance in the long run.

52. Which one of the following effects of creation of black money in India has been the main cause of worry to the Government of India?
(a) Diversion of resources to the purchase of real estate and investment in luxury housing
(b) Investment in unproductive activities and purchase of precious stones, jewellery, gold, etc.
(c) Large donations to political parties and growth of regionalism
(d) Loss of revenue to the State Exchequer due to tax evasion

Ans. (d): Loss of revenue to the state Exchequer due to tax evasion are the main cause of worry to the Government of India effects the creation of Black-money in India.
Hence, option (d) is correct.

53. Which one of the following is likely to be the most inflationary in its effects?
(a) Repayment of public debt
(b) Borrowing from the public to finance a budget deficit
(c) Borrowing from the banks to finance a budget deficit
(d) Creation of new money to finance a budget deficit

Ans. (d): Deficit financing always brings inflationary pressure whatever be the means but 'creation' (printing) of new money has the highest inflationary impact. So, the correct answer is option (d).

54. The money multiplier in an economy increases with which one of the following?
(a) Increase in the Cash Reserve Ratio in the banks
(b) Increase in the Statutory Liquidity Ratio in the banks
(c) Increase in the banking habit of the people
(d) Increase in the population of the country

Ans. (c): The money created by the Federal Reserve is the monetary base, also known as high-powered money. Banks create money by making loans. A bank loans or invests its excess reserves to earn more interest. A one-dollar increase in the monetary base causes the money supply to increase by more than one dollar.
The increase in the money supply is the money multiplier.

55. With reference to Indian economy, demand-pull inflation can be caused/increased by which of the following?
1. Expansionary policies
2. Fiscal stimulus
3. Inflation-indexing wages
4. Higher purchasing power
5. Rising interest rates

Select the correct answer using the code given below.
(a) 1, 2 and 4 only (b) 3, 4 and 5 only
(c) 1, 2, 3 and 5 only (d) 1, 2, 3, 4 and 5

Ans. (a): With reference to Indian economy demand-pull inflation can be caused/increased by expansionary policies, fiscal stimulus and higher purchasing power.
Hence, option (a) is the correct answer.

56. With reference to India, consider the following statements:
1. Retail investors through demat account can invest in 'Treasury Bills' and 'Government of India Debt Bonds' in primary market.
2. The 'Negotiated Dealing System-Order Matching' is a government securities trading platform of the Reserve Bank of India.
3. The 'Central Depository Services Ltd.' is jointly promoted by the Reserve Bank of India and the Bombay Stock Exchange.

Which of the statements given above is/are correct?
(a) 1 only (b) 1 and 2
(c) 3 only (d) 2 and 3

Ans. (b): Statement -1 (Correct) – RBI allowed the retail investors to directly purchase government bond by opening gilt accounts in RBI.
Statement – 2 (Correct) – Negotiated Dealing System Order matching is a screen based electronic anonymous order matching system for secondary market trading in Government Securities owned by RBI.
Statement – 3 (Incorrect) – Central Depositary Services Ltd. was promoted by BSE Ltd. jointly with leading Banks Such as, SBI, BOB, HDFC, and Union Bank not by R.B.I.
Hence, option (b) is the correct answer.

World's Organization/ Agriculture & Industry and Foreign Trade.

57. With reference to 'Water Credit', consider the following statements :
1. It puts microfinance tools to work in the water and sanitation sector.
2. It is a global initiative launched under the aegis of the World Health Organization and the World Bank.